

Working paper on Suits under Summary Procedure

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Before proceeding on the subject, I would like to quote the observations of an imminent jurist of his time, Justice Mehmood of Allahabad High Court who had commented on the procedure to be adopted by the courts that “courts are not to act upon the principle that every procedure is to be taken to be prohibited unless it is expressly provided for by the code, but on the converse principle that every procedure is to be understood as permissible till it is shown to be prohibited by law. As a matter of general principle, prohibition cannot be presumed”. (Nersingh. ILR Volume V Allahabad page 163 (FB)). Following the said principle, I never hesitated to adopt a course which was not prohibited, wherever the occasion arose to do justice. I hope that you will follow the same dictum.

In order to understand the titled subject better while dealing with such suits, one has not only to browse the provisions of Order XXXVII of Code of Civil Procedure but various provisions of the following laws as well;

- Negotiable Instrument Act,
- Stamp Act,
- Registration Act,
- Limitation Act,
- Contract Act, and
- Financial institutions (recovery of finances) ordinance 2001.

The provisions contained in the Rules 1 to 7 of Order XXXVII of civil procedure are capitulated hereunder;

1. **Application of Order.** This Order shall apply only to the High Court, the District court, and any other Civil Court notified in this behalf by High Court.

2. Institution of summary suits upon bills of exchange, etc.,

(1) All suits upon bills of exchange, hundies or promissory notes, may, in case the plaintiff desires to hereunder, be instituted by presenting a plaint in the form prescribed; but the summons shall be in Form no 4 in the Appendix 'B' or in such other form as may be prescribed.

(2) In any case in which the plaint and summons are in such forms, respectively the defendant shall not appear or defend the suit unless he obtains leave from a judge as herein under provided so to appear and defend, and, in default of his obtaining such leave or of his appearance and defense in pursuance thereof, the allegations in the plaint shall be deemed to be admitted, and the plaintiff shall be entitled to a decree:-

(a) for the principal sum due on the instrument with interest (i) up to date institution of the suit at agreed rate (ii) up to the date of decree at the same rate or at such other rate as the court think fit; and

(b) for such subsequent interest, if any, as the court may order under section 34 of C.P.C.

(c) for such sum for cost as may be prescribed.

Provided that, if the plaintiff more than such fixed sum for costs shall be ascertained in the ordinary way.

(3) A decree passed under this rule may be executed forthwith.

3. Defendant showing defense on merits have leave to appear.

(1) The court shall upon application by the defendant, give leave to appear and to defend the suit, upon affidavits which discloses such facts as would make it on the holder to prove consideration, or such other facts as the court may deem sufficient to support the application.

(2) Leave to defend may be given unconditionally or subject to such terms as to payment into court, giving security, framing and recording issues or otherwise as the court thinks fit.

(3) The provisions of Section 5 of Limitation Act, 1908 (IX of 1908) shall apply to the applications under sub-rule (1).

4. Power to set aside decree. After the decree the court may, under special circumstances, set aside the decree, and if necessary stay or set aside the execution, and may give leave to defendant to appear to the summons and to defend the suit, if it seems reasonable to the court so to do, and on such terms as the court thinks fit.

5. Power to order bill etc., to be deposited with officer of court. In any proceedings under the order the court may order the bill, *hundi* or note on which the suit is founded to be forthwith deposited with an officer of the court, and may further order that all proceedings shall be stayed until the plaintiff gives security for the costs thereof.

6. Recovery of costs of noting non-acceptance dishonored bill or note. The holder of every dishonored bill of exchange or promissory note shall have the same remedies for the recovery of the expenses incurred in noting the same for non-acceptance or non- payment, or otherwise, by reasons of such dishonor as he has under this Order for the recovery of the amount of such bill or note.

7. Procedure in suits. Save as provided by this Order, the procedure in suit hereunder shall be the same as the procedure in suits instituted in the ordinary manner.

The subject under discussion may be divided into following heads;

- Summary procedure for trial of suits.
- The courts that have the jurisdiction to try such suits.
- The domain and nature of such suits and effect of insufficiency of Stamp duty on inland and foreign executed instruments.

- The period of limitation for institution of such suits, and applicability of the provisions of Sections 4,5,19 and 20 of Limitation Act and the Section 25(3) of Contract Act.
- The nature of summons in such suits.
- The right of appearance and defense of the defendant subject to leave by the court, unconditionally or conditionally and ground thereof.
- The ground for grant of leave to appear and defend.
- The grounds for setting aside the decree
- The bill and note to be deposited in court.
- The grant of costs incurred on non acceptance and dishonor of bill or note.
- The procedure of trial where leave has been granted.

The term 'Summary' has not been defined in the Code. The term "summary" originates from Latin term *summarius*. According to chamber's 21 century dictionary, it means "Thing done or performed quickly and without the usual attention to details or formalities". A procedure as opposed to ordinary procedure for trial of a suit where defendant has right to file written statement, issues to be settled and the parties to the suit are required to prove the facts pleaded by them, whereas, in summary procedure the matter are to decided on affidavits. This remedy is optional not mandatory. Since an option is given to the plaintiff to resort to the procedure under the rule if he desires, a plaintiff would not irrevocably lose his right to have the suit tried in ordinary procedure the moment he once elect to resort to rule 2.

The object of the rule is to see that the defendant does not unnecessarily prolong the litigation and prevent the plaintiff from obtaining an early decree by raising untenable and frivolous defenses in a class of cases where speedy decision are desirable. Where there was no pretence for a defense, the party sued should not be allowed to defend, and holder should have judgment as of course, but that if

the defendant had a real may not be good defense, he should have leave to set it up.

The law gives jurisdiction to High Court and the District Court to try such suits. The High Court has been empowered to confer jurisdiction to any civil court to try summary suits by notifying such court.

Order XXXVII provides summary procedure for suits based on bill of exchange, *hundies* or promissory notes. Rule 2 provides that all such suits are to be instituted by presenting a plaint in the prescribed form. But no form has been prescribed (i)

The suit under this rule can't be based on insufficiently stamped note executed in Pakistan as the note is excluded from the purview of Section 35 of registration Act. But a note executed out of Pakistan could be the subject of such suit even if it is unstamped, Sections 3,18 and 19 Of Stamp Act can be referred.(ii)

The period of limitation for filling the suit under this rule is governed by article 64 A of part IV of the schedule to the Act. The payment made by defended or the acknowledgement in writing by or on behalf the debtor before the expiry of period of limitation gives the creditor a fresh period of limitation for filing the suit. Section 25 (3) of Contract Act gives a new cause of action to the creditor for filing suit wherein the debtor has promised to pay a debt that was barred by time. The plaintiff may file suit on the day when the court reopens in case the period of limitation expired when the court was closed. The provisions of section 5 of limitation Act has been made applicable to the application under sub-rule I of rule 3.

The nature and intent of summons under rule 2 is different from the summons in ordinary suit. The rule provides that the summons shall be in form 4 of Appendix 'B' or in any prescribed manner. The summons in form 4 informs the defendant to obtain leave from the court within 10 days from the service thereof, to appear and defend the suit and in default the plaintiff will be entitled to obtain a decree. The form of summons issued under Order XXXVII Rule 2 (1) is

completely different from the ordinary summons issued under Order V, Rule I, C.P.C. This makes a difference as the summons issued under this rule 2 (I) the defendant is not required to file written statement but ask to obtain leave to appear and defend the suit within the prescribed time. He is further warned of the consequence which may follow in case of default. This clearly follows that unless the summons is in prescribed form the question of seeking leave to appear and defend does not arise. As rule 2 provides a particular mode of summons and penalizes the defendant for its non-compliance, it has to be treated as mandatory and should strictly be complied with.(iii)

The object of the rule that leave to defend should be obtained in suits under summary procedure is to see that in the class of suits to which the Order applies the defendant does not necessarily prolong litigation and the plaintiff from procuring a decree early by raising untenable and frivolous defense, it is not intended, however, by that rule to deprive a man of his right of defending the suit in court if he has a good defense but at the same time a man raising a sham defense or unreal defense should not be allowed the action.

While giving leave to defend the suit the court shall observe the following principles:

- (a) If the court is of the opinion that the case raises a triable issue then leave to defend should ordinarily be granted unconditionally. The question whether the defense raises a triable issue or not has to be ascertained by the court from the pleadings before it and the affidavits of the parties.(iv)
- (b) If the court is satisfied that the facts disclosed by the defendant do not indicate that he has a substantial defense to raise or that the defense intended to put by defendant is frivolous or vexatious, may refuse leave to defend altogether. (v)
- (c) In case where the court entertains a genuine doubt on the question as to whether the defense is genuine or sham or

whether it raises a triable issue or not, the court may impose condition in granting leave to defense. (vi) The court would be justified in coming to the conclusion that the issue is not a triable when the defense is plausible but improvable and in such cases it can put the defendant on terms while granting leave to defend.

- (d) In case where the defendant admits that a part of amount claimed by the plaintiff is due from him, the court shall not grant leave to defend the suit unless the amount so admitted to be deposited by the defendant in the court.
- (e) The court while granting leave to defend must take care to see that the object of the rule is to assist the expeditious disposal of such cases to which the Order applies is not defeated.
- (f) The court should further take care to see that real and genuine triable issues are not shut out by unduly severe orders as to deposit. (v)

The court has to exercise judicial discretion keeping in view the basic dictates of justice when determining the question whether or not to permit the defendant to contest the suit and if so whether unconditionally or on terms and what terms. The use of conjunction 'or' clearly shows that leave can, in law, be granted either unconditionally or upon terms.

Unconditional leave

Where the defendant satisfies the court that he has a good defense to the claim on its merits the plaintiff is not entitled to sign the judgment and the defendant is entitled to unconditional leave to defend. So unconditional leave to defend must be given if the facts disclosed by the defendant indicate that he has a substantial defense to raise, which means that defense so raised has good chance of success or has good potentiality to dislodge the plaintiff or which is

bona fide and honest one and raises such question of law or facts which require through judicial scrutiny. When the defense is proved to be correct would non-suit the plaintiff and the suit would be dismissed, leave to defend must be granted to the defendant unconditionally. (vi)

Conditional leave

1. If the defendant discloses such facts as may be deemed sufficient to entitle him to defend, that is to say, although the affidavit does not positively and immediately make it clear that he has a defense yet shows such a state of facts or leads to the inference that at the trial of action he may be able to establish a defense to the plaintiff's claim, the plaintiff is not entitled to judgment and the defendant is entitled to leave to defend but in such a case the court may in its discretion impose conditions as to the time or mode of trial but not as to payment into court or furnishing security.

2. When the defendant sets up some sort of defense which is contradicted by documents, the court may make the leave to put that defense conditional on the defendant being prepared to give security for the amount claimed.

3. If the defendant has no defense, or the defense is illusory or sham or practically moonshine, then ordinarily the plaintiff is entitled to judgment, the court may allow the defense to proceed if the amount claimed is paid into court otherwise secured and give leave to the defendant on condition and thereby show mercy to the defendant by enabling him to try to produce a defense. (vii)

Refusal of leave

If the defendant has no defense or the defense set up is illusory or sham or practically moonshine then ordinarily the

plaintiff is entitled to leave to sign judgment and the defendant is not entitled to leave to defend.

The following principles can be spelled out in the matter of grant or refusal of leave to defend in summary suits:

- (a) When no defense is indicated, then the leave to defend must be refused.
- (b) Where none of the defenses sought to be raised is tenable in law, then leave must be refused.
- (c) Where part of the amount claimed by the plaintiff is admitted by the defendant or is due from him, leave to defend shall not be granted, unless the amount so admitted to be due is deposited by the defendant in court.
- (d) Where the facts disclosed by the defendant indicate that a triable issue is raised, but this is not a substantial defense, then leave to defend may be granted only upon such terms as may appear to the court to be just.
- (e) Where the facts disclosed by the defendant indicate that he has a substantial defense to raise, unconditional leave to defend must be granted. (viii)

Court's power to set aside the decree

In invoking the provisions of Rule 4 of the order, the defendant will have to satisfy two conditions; viz (1) there was no due service of summons in suit or that he was prevented by sufficient cause from getting leave to defend the suit and (2) that he had a substantial defense to raise in the suit. The special circumstances mentioned in the Rule 4 only contemplate the aforesaid conditions which the defendant must satisfy to entitle him to have the decree set aside and get the leave to defend the action. The expression "special circumstance" found in this Rule is not synonymous with the expression

“sufficient cause” found in Rule 13 of Order 9. So far as the summary suits are concerned, the procedure laid down under Order XXXVII shall be followed. Therefore, the principle of “sufficient cause” found under rule 13 of Order 9 C.P.C. or under Section 5 of Limitation Act can’t be imported into Rule 4 *ibid*. The expression “special circumstances” is not defined in the code nor it is capable of any precise definition by the court because problems of human beings are so varied and complex. In its ordinary meaning it connotes something exceptional in character, extraordinary, significant, and uncommon. It is an antonym of common, ordinary, and general. It is neither practicable nor advisable to enumerate such circumstances. In an application under Rule 4, the court has to determine the question, on facts of each case as to whether circumstances pleaded are so unusual or extraordinary as to justify putting the clock back by setting aside the decree, to grant further relief in regard to post-decree matters, namely, staying or setting aside the execution and also in regard to pre-decree matters viz, to give leave to the defendant to appear to the summons and to defend the suit.(ix)

The court has power to direct the plaintiff to deposit the document on which the suit is founded with officer of the court. (r5)

Rule 6 enjoins the holder of dishonored bill or note of recovery of expenses incurred by him in this regard. The procedure for trial of suit instituted under this chapter shall be the same as provided in the Code for the trial of ordinary suit viz, written statement to be filed by the defendant, issues, and evidence by the parties.

Case laws;

- i Habib Bank Ltd v Kayece Corporation Karachi PLD 1980 Karachi 143
- ii Abdul Malik K. Lakha v Abdul karim K Lakha PLD 2004 Karachi 399
- iii Bilqees Fatima v Abdul Razak PLD 1986 Karachi 444
- iv milkhiniram (India) Pvt Ltd v Chaman Lal AIR 1972 mad 118
- v Machalee Engineer and Manufacturing v Basic Equipments corporation AIR 1977 SC 577 ,Fine Textile mills Ltd V Haji Umer PLD 1963 SC 163
- vi ibid
- vii ibid
- viii Indian Rayan and Industries Ltd v Srohya Enterprises AIR 1992 Bom 60
- ix Rajni Kumar v Suresh Kumar Malhotra AIR 2003 SC 1322

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